

Real Estate **Broker Match**

April 2026

Market Pulse

Real Estate, Interest Rates, Deal Flow

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April 2026 - At a Glance

Key metrics as of market close April 1, 2026 unless otherwise noted. Rate and spread data sourced from Federal Reserve, U.S. Treasury, Freddie Mac, NY Fed, and CREFC. Property market data from CBRE Q4 2025, CoreLogic, Kastle, and Trepp, carried forward where Q1 2026 data is not yet available.

Metric	Value	Note	Source
Fed Funds Rate	3.50-3.75%	Unchanged; next meeting April 28-29	Federal Reserve
SOFR	3.68%	Flat since March 2	NY Fed, March 31
2-Year Treasury	3.807%	Up 32 bps since March 2	U.S. Treasury, April 1
10-Year Treasury	4.327%	Up 28 bps since March 2	U.S. Treasury, April 1
30-Year Treasury	4.910%	Up 22 bps since March 2	U.S. Treasury, April 1
30-Year Fixed Mortgage	6.38% (Mar 26)	Up 40 bps; back above 6%	Freddie Mac
CMBS AAA Spread	S+80 bps	Widened from S+68 in early March	CREFC, late March 2026
CMBS BBB-Spread	S+450 bps	Widened from S+435 in early March	CREFC, late March 2026
CRE Transaction Volume	Bifurcated	Dallas/Richmond/NYC up; Atlanta/Boston/Philadelphia slowing	Fed Beige Book, March 2026
Office Vacancy (National)	18.8%	Stable but elevated	CBRE Q4 2025
CMBS Office Delinquency	Technically declined Feb	Driven by extensions, not improved performance	Trepp
Office Utilization (Kastle)	56.9%	10-city weekly average	Kastle, March 4, 2026
Industrial Vacancy	6.7%	Stable	CBRE Q4 2025
Industrial Rent Growth	-1.1% YoY / +0.6% QoQ	First positive quarter after six declines	CBRE Q4 2025
Multifamily Vacancy	7.3%	Record high as supply peaks	CoreLogic Dec 2025
Multifamily Rent Growth	-1% YoY	Flat to negative in oversupplied markets	NAHB / CoreLogic
Credit Stress Watch	Elevated	\$7.6B in SASB AAA downgrades signals pressure at top of capital stack	Trepp / CREFC

Key Takeaways

- The single biggest development in March was the Gulf energy shock. US-Israeli strikes on Iran and drone damage to Gulf facilities caused a functional shutdown of the Strait of Hormuz, sending oil prices spiking toward \$100-110 per barrel. The macroeconomic consequences are direct: inflation is projected to re-accelerate toward 3.5% by mid-2026, the Fed has shifted hawkish, and rate relief has been effectively taken off the table for CRE borrowers in the near term.
- The entire Treasury curve moved higher since the March 2 issue - the 2-year up 32 bps, the 10-year up 28 bps, the 30-year mortgage back above 6%. This is a direct reversal of the improving rate environment that defined the first two months of the year. Owners who were waiting for rates to solve their capital stack problems are now further from that outcome than they were a month ago.
- Credit conditions tightened meaningfully. CMBS conduit spreads widened at both AAA and BBB-, and the market absorbed \$7.6 billion in SASB AAA downgrades, a signal that credit pressure has now reached the very top of the capital stack, not just subordinate tranches. This is the most significant credit event of the cycle to date.
- The REIT market tells the bifurcation story clearly. Data center REITs (EQIX +28.91%, DLR +3.86% over 6 months) and select hospitality (HST +11.63%) are outperforming significantly. Office REITs (VNO -37.97%, BXP -33.15% over 6 months) are being repriced toward levels that reflect the structural challenges in that sector. The alt manager complex - Blackstone, KKR, Apollo, Ares - has seen 6-month declines ranging from 16% to 32%, which matters directly for CRE capital availability.
- The Senate passed the 21st Century ROAD to Housing Act on March 12, 2026. The bill has returned to the House for further consideration and its final status is not yet determined. If enacted as passed by the Senate, it would limit corporations that already own more than 350 homes from purchasing additional residential properties. For institutional SFR owners, this warrants close monitoring. For the broader multifamily and housing market, it signals that federal policy is moving toward constraining institutional aggregation of single-family homes.

Market Overview

Treasury Rates - Change Since March 2, 2026

Rate	March 2	April 1	Change
SOFR	3.68%	3.68%	Flat
2-Year Treasury	3.48%	3.807%	+32 bps
10-Year Treasury	4.05%	4.327%	+28 bps
30-Year Treasury	4.69%	4.910%	+22 bps
30-Year Fixed Mortgage	5.98%	6.38%	+40 bps

Current Fed Funds Rate: 3.50%-3.75%

Key Takeaway: The Rate Picture Reversed

Last month's story was rates improving. This month it is the opposite. The entire Treasury curve moved higher, the 30-year mortgage is back above 6%, and market rates have repriced sharply in response to new geopolitical and inflationary pressures.

The Gulf Energy Shock

The dominant macro event of March was the escalation of the Middle East conflict following US-Israeli strikes on Iran and Iranian drone damage to Gulf energy facilities. The Strait of Hormuz, through which approximately 20% of the world's oil supply passes, experienced a functional shutdown, sending oil prices spiking toward \$100-110 per barrel.

The economic transmission mechanism is straightforward. Higher oil prices are inflationary. Persistent inflation gives the Fed less room to cut. J.P. Morgan Asset Management projects that inflation could bounce to 3.5% by mid-2026. Nine Federal Reserve Districts reported in the March Beige Book that tariffs contributed to increased costs, and firms that previously absorbed those costs are now beginning to pass them through. For CRE borrowers who were counting on Fed cuts in the first half of 2026 to solve their refinancing math, that timeline has been pushed out significantly.

The March FOMC Meeting

The Fed held rates steady at 3.50-3.75% at the March 17-18 meeting, but the language shifted meaningfully. Per J.P. Morgan Asset Management commentary on the meeting, Middle East developments were viewed as likely shifting the outlook for policy rates in a hawkish direction. The Summary of Economic Projections revised both growth and inflation forecasts higher for 2026 and 2027. The dot plot officially maintained an outlook for one rate cut in 2026, but analysts widely view that as a best-case scenario contingent on conflict resolution.

One notable development: Governor Miran dissented from the hold decision, voting for an immediate 25 bps cut, a signal that the Fed is not unanimous and that some members remain focused on softening labor data. Chairman Powell indicated that a rate hike was discussed but is not the base case for the majority of participants, and that the Fed will stay on hold until the economic impact of the geopolitical situation becomes clearer. The market has responded by repricing the front end of the yield curve 60-100 bps higher and delaying expected easing to late 2026 at the earliest.

The Warsh Nomination

The Warsh nomination has moved forward. Senator Thom Tillis (R-N.C.) had been blocking the nomination, stating he would not vote to confirm any central bank nominees until the Department of Justice drops its criminal investigation into current Chair Jerome Powell. Warsh held private meetings with Tillis and Senator Kevin Cramer during the week of March 9. As of late March, Reuters reported that the Senate Banking Committee was planning to hold Warsh's confirmation hearing as soon as the week of April 13, a significant step forward, though timing is not yet confirmed. Jerome Powell's term as chair ends May 15, 2026, which is driving urgency on all sides.

Markets are watching this closely because Warsh is generally viewed as more dovish than Powell and more aligned with the administration's preference for lower rates. That said, expectations for early Warsh-led rate cuts have moderated since the Gulf energy shock. With inflation re-

accelerating, Reuters has noted that Warsh's first move as chair could even be a rate hike depending on how conditions evolve. The more accurate framing: Warsh may be more open to cuts than Powell over time, but the current macro environment may constrain him just as it would any Fed chair.

Capital Markets

Lending: Tightening at the Margins

The gradual improvement in lending conditions that characterized the first two months of 2026 has paused. The 30-year fixed mortgage is back above 6%. CMBS conduit spreads have widened: AAA from S+68 to S+80 bps, BBB- from S+435 to S+450 bps. Regional banks remain cautious, lending standards for office and construction stay tight per the SLOOS, and the credit environment is no longer improving.

The SASB AAA Downgrade Story

The most significant credit market event of March was \$7.6 billion in SASB (Single Asset Single Borrower) AAA downgrades. This matters because AAA is supposed to be the most protected position in the capital stack, the last place stress shows up. When AAA paper is being downgraded at this scale, it signals that the credit problems in commercial real estate are no longer confined to subordinate tranches. SASB AAA spreads have widened to +115 to +184 bps, reflecting the market's reassessment of top-of-stack risk. Owners and lenders who assumed the senior debt was insulated from the broader repricing need to revisit that assumption.

What Each Lender Type Is Doing

- **Banks:** Still defensive. Protecting existing books, selective on new originations, particularly for office and construction. The SLOOS confirms tighter standards remain in place.
- **Agencies (Fannie/Freddie):** Reliable capital for multifamily. Disciplined on leverage and coverage ratios.
- **Life Companies:** Competing aggressively for trophy assets and top sponsors. Best pricing in the market for the right deals.
- **Debt Funds / Private Credit:** Still active but under significant financial pressure. With Blackstone, KKR, Apollo, and Ares all down 15-32% over the past six months, the cost of capital for these firms has risen and fundraising headwinds are real. Watch Q1 earnings calls in April for signals on deployment pace.
- **CMBS:** Spreads widening at both the AAA and BBB- level. The SASB downgrade story has introduced new uncertainty about how the market will price structured credit going forward.

Alternative Asset Manager Performance

The firms that serve as the largest capital channels in CRE, both as direct lenders and equity partners, have seen sustained underperformance.

Firm	Ticker	1-Month	6-Month	1-Year
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Blackstone	BX	-2.19%	-32.28%	-23.55%
KKR	KKR	+0.63%	-26.84%	-24.59%
Apollo	APO	+0.51%	-15.91%	-24.40%
Ares	ARES	-9.89%	-32.18%	-33.89%

Market close April 1, 2026. Source: Google Finance.

KKR and Apollo stabilized slightly on the 1-month, but the 6-month declines across all four remain severe. At these valuations, their cost of capital is higher, fundraising is harder, and the pace of CRE deployment is likely to slow. Owners relying on private credit channels should be monitoring this closely.

Transaction Volume: Bifurcated

Transaction activity in March was highly uneven per the Federal Reserve's Beige Book. Dallas, Richmond, and NYC reported increased velocity and a "resurgence" in activity, with NYC office fundamentals improving in Midtown South and Downtown. Atlanta, Boston, and Philadelphia saw conditions slow, with industrial leasing softening and very few new construction starts scheduled for 2026.

The standout deals confirm that capital is still moving for the right assets: SL Green secured a \$1.65 billion refinancing on One Madison Avenue; a \$4.3 billion loan was provided by JP Morgan and Vici for One Beverly Hills; and Public Storage agreed to acquire National Storage Affiliates in an all-stock deal valued at approximately \$10.5 billion including debt, with closing expected in Q3 2026, the largest self-storage consolidation in recent memory.

The financing window is open for quality assets with strong sponsors. The SASB downgrade story and wider spreads are a meaningful warning sign that credit conditions are becoming less forgiving. Owners in the middle of the quality spectrum face a harder environment than they did sixty days ago.

REIT Performance Scorecard

New section beginning with the April 2026 issue. Data as of market close April 1, 2026. Source: Google Finance.

REIT	Ticker	Sector	1-Month	6-Month	1-Year
Vornado	VNO	Office (New York City)	-6.61%	-37.97%	-32.26%
BXP Inc	BXP	Office (Gateway Markets)	-9.28%	-33.15%	-23.81%
AvalonBay	AVB	Multifamily (Coastal Markets)	-7.88%	-13.83%	-23.13%
Equity Residential	EQR	Multifamily (Urban Apartments)	-5.67%	-7.10%	-16.46%
Prologis	PLD	Industrial (Logistics / Warehouses)	-6.58%	+14.47%	+19.63%
Rexford Industrial	REXR	Industrial (SoCal Infill)	-12.75%	-20.58%	-16.65%

Simon Property	SPG	Retail (Shopping Malls)	-7.42%	+1.66%	+10.37%
Regency Centers	REG	Retail (Grocery-Anchored)	-4.31%	+5.88%	+1.83%
Equinix	EQIX	Data Centers (Global Colocation)	+3.09%	+28.91%	+19.77%
Digital Realty	DLR	Data Centers (Wholesale / AI)	+0.98%	+3.86%	+21.37%
Host Hotels	HST	Hospitality (Luxury Hotels)	-3.05%	+11.63%	+30.38%

The 6-month and 1-year columns tell the real story: data centers and hospitality are the clear winners, office is being repriced toward levels that reflect structural impairment, and industrial is split between Prologis (AI/logistics tailwind) and Rexford (SoCal headwinds). Retail is holding up better than headlines suggest, with both REG and SPG positive on a 6-month and 1-year basis.

What Refinancing Actually Looks Like Right Now

The refi math from last month still applies - and has gotten harder. The 30-year mortgage is 40 bps higher than March 2 and the 10-year Treasury is up 28 bps, meaning the ~\$5.2 million equity injection shown in the table below is now larger in practice.

	2022 (Original Loan)	2026 (Refi Today)
Property NOI	\$2,000,000	\$2,000,000
Cap Rate / Value	5.0% / \$40,000,000	6.25% / \$32,000,000
Loan Amount (65% LTV)	\$26,000,000	\$20,800,000
Interest Rate	3.75% (fixed)	6.25% (fixed)
Annual Debt Service	\$1,445,000	\$1,537,000
DSCR	1.38x	1.30x
Equity Required at Refi	-	~\$5,200,000 cash-in (and rising)

Note: Both scenarios assume 30-year amortization. Figures simplified for illustrative purposes. Equity injection figure increases with each additional basis point increase in the 10-year Treasury.

The core dynamic is unchanged: cap rate expansion plus higher debt costs equals smaller loan proceeds on the same asset. Lenders are underwriting to current values and current rates. Owners who were hoping the rate environment would improve enough by their maturity date to solve the problem have had that timeline pushed out meaningfully by the March events. The sell-versus-hold decision is now even more consequential than it was thirty days ago.

Buyer Demand Is Bifurcated - Premium Assets Clear, Average Assets Struggle

Capital Is Chasing:

- **Data Centers and Power-Ready Sites:** Demand continues to be structural and aggressive. Starwood sold a data center land parcel in Virginia for \$166.8 million in March. The HALO framework - Heavy Asset, Low Obsolescence - captures why these assets are seeing a generational repricing: high barriers to replication, long economic lives, and direct AI infrastructure exposure. The Goldman Sachs Capital Intensive basket has outperformed Capital Light by 35% since 2025. Texas and ERCOT remain the leading hub for new development given faster interconnection timelines.
- **Modern Industrial (Select):** Prologis's 6-month and 1-year REIT performance reflects genuine investor conviction in logistics infrastructure. The first positive QoQ rent print after six consecutive quarterly declines (CBRE Q4 2025) remains intact. New supply starts are well below 2022 peaks, setting up tighter conditions ahead. The bifurcation between Prologis and Rexford performance suggests the market is increasingly selective within industrial: scale, location, and power access matter.
- **Grocery-Anchored and Suburban Retail:** Both Regency Centers and Simon Property Group are positive on a 6-month and 1-year basis, a quiet success story. Limited new supply, stable tenants, and the essential-retail anchor dynamic continue to support this segment.
- **Trophy Hospitality:** Host Hotels is up 30.38% over the past year, the strongest performer in our REIT scorecard. Global capital is still chasing best-in-class hospitality assets.
- **Self-Storage:** Public Storage agreed to acquire National Storage Affiliates in an all-stock deal valued at approximately \$10.5 billion including debt, with closing expected in Q3 2026. The largest self-storage consolidation in recent memory and a clear signal of institutional conviction in the sector.

Capital Is Avoiding:

- **Non-Prime Office:** Vornado and BXP are down 32-38% over the past six months. Manhattan office tower valuations have reportedly fallen below their COVID-era lows. CMBS office delinquency technically declined in February, but the movement was driven by loan extensions, not improved property performance. A steady stream of office special servicing transfers continues.
 - **Oversupplied Sun Belt Multifamily:** AvalonBay is down 13.83% over 6 months. Atlanta multifamily continues to face elevated vacancy. San Francisco demand is lagging new supply. The forward supply picture is improving, but the absorption overhang in certain markets is not resolved.
 - **Discretionary Retail:** Nordstrom is closing its Galleria Dallas location. Restaurant spaces in the Philadelphia market are seeing rising vacancies. The structural rationalization of discretionary retail footprints has further to run.
 - **Generic Value-Add:** No market appreciation to bail out thin underwriting. Lenders are underwriting to current cash flow only.
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The AI Disruption: What It Means for Real Estate

The displacement thesis continues to develop. The SaaS pressure story - companies using AI to cut headcount while simultaneously canceling per-seat software licenses - is becoming more tangible as corporate AI transformation announcements accelerate. For office, the math is unchanged: fewer employees means fewer seats. National office vacancy is already at 18.8%. OpenAI surpassing one million square feet in San Francisco is a genuine AI-driven demand signal, but outside a handful of markets, AI is accelerating headcount reduction more than it is creating new leasing demand.

For apartments, early signals in tech-heavy markets bear watching. San Francisco saw demand for multifamily housing lag new supply in March per the Beige Book, pulling rents down. The Citrini Research scenario, where white-collar workers representing 50% of employment and 75% of discretionary spending face AI-driven disruption with outsized downstream effects, remains a hypothetical at scale but is becoming less hypothetical at the margin.

One new development worth tracking: multiple Fed governors are scheduled to speak on AI and labor market implications in the coming weeks. If the Fed begins treating AI-driven unemployment differently than cyclical unemployment in its language, it could materially affect the rate cut calculus later in the year.

Notable Deal of the Month

Savills to Acquire Eastdil Secured - \$1.1 Billion

The most consequential deal for the CRE services industry this month is Savills's reported agreement to acquire Eastdil Secured in a deal valued at approximately \$1.1 billion including debt. Eastdil is widely regarded as the premier institutional CRE investment sales and capital markets advisory firm in the United States, the firm that handles the largest and most complex transactions in the country. Savills is a global real estate services firm with a strong presence in Europe and Asia.

Why It Matters

Eastdil's client relationships touch virtually every major institutional owner, lender, and investor in U.S. CRE. A change in ownership at this scale raises immediate questions about platform continuity, talent retention, and how existing client relationships get managed. This is part of a broader wave of consolidation in CRE services - a reminder that the advisory and brokerage landscape, not just the property market, is in active transition.

The Expense Shock Reality

The story here is consistent with last month, and the consistency is itself the point. Insurance inflation and property tax pressure are structural, not cyclical. They do not improve when rates fall or when the Fed cuts. The drivers, including higher replacement costs, more frequent and severe loss events, tighter municipal budgets, and reassessment cycles, remain fully intact.

California continues to be the starkest example. Camden Property Trust's exit from the state reflects what happens when insurance exposure, property tax pressure, rent control, and legal risk compound simultaneously. Other institutional owners are watching and drawing their own conclusions.

A \$350,000 annual increase in combined insurance and taxes erases approximately \$5.8 million in property value at a 6% cap rate. That math does not improve with a Fed cut, and it does not improve when oil prices spike either.

The 2026 Maturity Wall

The three patterns from last month remain in place, and the March rate reversal has made the math worse for the middle category.

1. Quality assets in healthy sectors are getting refinanced. The transactions are happening. SL Green's \$1.65 billion One Madison refi is a clear example at the high end. Life companies and CMBS are still available for the right sponsors and assets.
2. Challenged assets are getting extended again. The CMBS office delinquency technically declined in February, but per Trepp, this was driven by large loan extensions rather than improved property performance. Extend-and-pretend is still the dominant resolution strategy for loans that cannot refinance at current values.
3. The loans that cannot be extended are beginning to force resolution. Distressed sales are picking up in Sun Belt multifamily per the Dallas Fed. The \$7.6 billion in SASB AAA downgrades is a leading indicator that some of the extend-and-pretend strategy is running out of runway even at the senior level.

The rate reversal in March matters here directly. Every 25 bps increase in the 10-year Treasury makes the refinancing math harder for the assets in the middle. Owners who were on the edge of qualifying at March 2 rates may have moved off that edge by April 1.

Housing and Rents

Note: Q4 2025 data carried forward where Q1 2026 figures are not yet available.

- **Multifamily:** National vacancy remains at a record 7.3% (CoreLogic, December 2025). Rents are down approximately 1% YoY nationally. The forward supply picture continues to improve, but Atlanta is still reporting high vacancies beleaguering the sector, and San Francisco is seeing demand lag behind new supply with downward rent pressure. The NYC rental market remains tight with vacancy below the long-term average for this time of year. The Senate passage of the ROAD to Housing Act on March 12 is worth monitoring, though the bill has returned to the House and is not yet law. If enacted as passed, corporations already owning more than 350 homes would be limited from acquiring additional residential properties.

- **Single-Family and Build-to-Rent:** Holding up better than multifamily. Mortgage lock-in, where owners sit on sub-5% mortgages, continues to suppress resale inventory and support rental demand. Affordability constraints are keeping the renter pool larger than it would otherwise be.
- **Office:** NYC is experiencing a genuine recovery in Class A space. Midtown South and Downtown vacancy rates are declining and rents are rising. The Bank of America 20-year lease extension at One Bryant Park is one of the most significant long-term office commitments of the year. OpenAI surpassing one million square feet in San Francisco continues the AI-driven Class A demand story. None of this applies to the broader national office market, where 18.8% vacancy and ongoing special servicing transfers reflect a very different reality.
- **Retail:** Grocery-anchored and suburban convenience retail remains well-occupied. REG and SPG are both positive on a 6-month and 1-year basis. Discretionary retail continues its structural rationalization: Nordstrom's Galleria Dallas closure and rising restaurant vacancies in Philadelphia are the most recent data points.

The ROAD to Housing Act - What Owners Should Be Watching

The Senate passed the 21st Century ROAD to Housing Act on March 12, 2026. The bill has returned to the House for further consideration and is not yet enacted law. Its ultimate fate is still unclear. That said, the direction of travel is worth understanding now.

If enacted as passed: The most significant provision would limit corporations that already own more than 350 homes from purchasing additional residential properties. This would cap the growth of large-scale institutional SFR platforms. The bill includes carve-outs for certain exceptions.

Supply and Financing: The legislation would also streamline regulatory processes to reduce development hurdles, promote manufactured housing as a lower-cost alternative, and expand multifamily financing options to encourage higher-density residential growth.

For SFR operators: If your portfolio is approaching or above 350 homes under corporate ownership, monitor this closely. The bill is not law yet, but the political direction is clear. Understanding the exact provisions and carve-outs now - before enactment - puts you in a better position to respond if it passes.

What's Working / What's Not

Working	Not Working
Data Centers and Power-Ready Sites HALO framework driving structural repricing. EQIX +28.91% over 6 months. Goldman Sachs Capital Intensive basket outperforming Capital Light by 35% since 2025.	Non-Prime Office (Class B/C) Manhattan valuations below COVID-era lows. VNO and BXP down 32-38% over 6 months. SASB downgrades hitting top-of-stack paper.
Trophy Hospitality HST +30.38% over 1 year. Strongest performer in the REIT scorecard. Global capital still chasing best-in-class assets.	Oversupplied Sun Belt Multifamily Atlanta and SF seeing elevated vacancy and rent pressure. AVB down 13.83% over 6 months.

Prologis-Quality Industrial First positive QoQ rent print after six consecutive declines. PLD +14.47% over 6 months. Scale, location, and power access matter.	Discretionary and Legacy Retail Nordstrom closing Galleria Dallas. Restaurant vacancies rising in Philadelphia. Structural reset with further to run.
Grocery-Anchored Retail REG and SPG positive on 6-month and 1-year basis. Essential-retail anchor dynamic holding.	Generic Value-Add No market appreciation to bail out thin underwriting. Lenders underwriting to current cash flow only.
NYC Class A Office Genuine recovery in Midtown South and Downtown. BofA 20-yr extension at One Bryant Park. OpenAI surpassing 1M sq ft in SF.	Rexford-Type Industrial (SoCal Infill) REXR down 20.58% over 6 months vs. PLD +14.47%. Market increasingly selective within industrial.
Self-Storage Public Storage agreed to acquire National Storage Affiliates in a deal valued at ~\$10.5B including debt, closing expected Q3 2026. Largest self-storage consolidation in recent memory. High-volume sector consolidation signaling long-term confidence.	Large-Scale Institutional SFR (350+ homes) Senate-passed ROAD to Housing Act would limit further acquisitions if enacted. Bill now in House - not yet law, but the direction of travel is clear and operators should be prepared.

Office: Survival Strategies

The bifurcation in the office market is becoming more extreme, not less. NYC Class A is in genuine recovery, OpenAI has over one million square feet in San Francisco, and Bank of America just committed to a 20-year lease extension. On the other end, Manhattan office tower valuations have reportedly fallen below their COVID-era lows, CMBS delinquency is being held down only by extensions, and special servicing transfers continue at a steady pace.

The assets in the middle - older, amenity-light, suburban, not in an AI-demand market - face the hardest environment of this cycle. The question for those owners is no longer "when does the market recover" but "what is the highest and best use of this asset." Progress on 25 Water Street, the largest office-to-residential conversion in history at over 1,300 apartments, is the clearest current answer when the building's bones support it.

- **Residential Conversion:** The primary path for obsolete suburban and lower-tier urban office where the physical characteristics support it. Tax incentives are increasingly the deciding factor in whether the economics pencil.
- **Mixed-Use Repositioning:** Adding housing and retail to create daily foot traffic that justifies reinvestment. Bishop Ranch in San Ramon remains the clearest example of this executed well.
- **Flight-to-Quality:** For assets that can genuinely compete, amenity-rich, operationally excellent, and in markets with AI-driven demand, the bar has risen but the opportunity is real. Everything below that standard is competing on price alone.

The new variable: even in markets with genuine office recovery, the AI displacement story creates a ceiling on demand. A company that is simultaneously expanding in a market and

reducing headcount through AI is not necessarily leasing more space. Underwriting office demand requires a view on both occupancy preferences and headcount trajectory.

When Selling Makes Sense

The framework from last month applies with added urgency given the rate reversal.

Sell If:

- Loan maturity within 12-18 months and the refinancing math requires a meaningful equity injection. The numbers got harder in March, not easier.
- Asset needs major CapEx to compete and you are not positioned to execute it.
- You are a passive or out-of-market owner in a sector requiring active management.
- You own a bid-worthy asset: data centers, strong industrial, trophy hospitality, where buyers are competing aggressively right now.
- You are in oversupplied Sun Belt multifamily markets.
- Your office asset lacks a credible repositioning path and you are not in a recovery market.
- You own more than 350 homes as a corporate entity and were planning to expand. The Senate-passed ROAD to Housing Act would limit further acquisitions if enacted - monitor this closely as it moves through the House.

Hold If:

- Long-dated, low-cost debt is locked in.
- Your asset is in a supply-constrained market where fundamentals are genuinely improving.
- You have operational excellence to navigate expense shocks and demonstrate real cash flow.
- Your submarket is showing genuine recovery signals: unsolicited bids, rising velocity, improving absorption.

The Inject Equity vs. Sell Decision

The March rate reversal made this decision harder. Every dollar of equity injected at today's values and rates requires a higher return to justify the basis. In office and premium multifamily in tech-heavy markets, the AI displacement dynamic adds another layer of uncertainty to any forward-looking NOI assumption.

If You Have a Loan Maturity in the Next 12-18 Months:

- Get a broker opinion of value now, not at maturity.
 - Ask your lender what they will require to refinance at current rates and values.
 - Confirm insurance renewal terms and property tax reassessment risk.
 - Do not assume the private credit terms you were offered six months ago are available today. The alt manager sector is under significant pressure.
 - Have a backup plan that does not depend on rate relief arriving on your timeline.
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Three High-Impact Actions for Owners Holding Through 2026

1. Stress-Test Your Capital Stack Against a Higher-for-Longer Scenario

The consensus coming into 2026 was that rates would be meaningfully lower by mid-year. That consensus was wrong. If your operating model or refinancing plan was built around 50-100 bps of rate declines this year, rebuild it around flat-to-higher rates and understand what that does to your coverage ratios and equity position.

2. Know the Credit Market Before Your Lender Tells You

The \$7.6 billion in SASB AAA downgrades and widening CMBS spreads signal tightening, not loosening. Do not assume your existing lender relationship guarantees the same terms at maturity that were available six months ago. Have early conversations, understand what they are underwriting to, and identify alternative capital sources before you need them.

3. Get Ahead of the ROAD to Housing Act If You Own SFR at Scale

The Senate-passed bill is not yet law, but if your portfolio is approaching or above 350 homes under corporate ownership, understand the provisions and carve-outs now. Being prepared before enactment is far better than reacting under time pressure.

A Note From REBM: The Case for Specialist Brokers in a Credit-Tightening Environment

Cap rates have expanded, lender requirements have tightened, CMBS spreads are widening, and \$7.6 billion in SASB AAA downgrades means even top-of-stack paper is under scrutiny. In this environment, the broker you select to represent a sale is not a commodity decision.

- **Buyer depth is uneven.** The right specialist has direct relationships with the active buyers in your specific sector, not a generic contact list. In many markets today, there are only three to five credible buyers for a given asset type, and knowing who they are, what they are underwriting, and what their current capital availability looks like is not general knowledge.
- **Pricing reality has shifted further.** The gap between an optimistic broker's pitch and a realistic one has widened again in the past thirty days. The broker who tells you what you want to hear costs more than the broker who tells you what you need to know.
- **Timing creates leverage.** Forced sales and maturity-driven dispositions are increasing. Sellers who choose their timing rather than having it chosen for them are in a meaningfully stronger negotiating position. The window to execute proactively, before stress forces the issue, is real but not indefinite.

If you are evaluating a sale, refinance, or hold decision over the next 6-12 months, REBM can connect you with brokers who specialize in your property type and market. Visit RealEstateBrokerMatch.com or call (800) 841-5033.

What We're Watching Next

Fed Path

- Current Fed Funds Rate: 3.50%-3.75%
- Next meeting: April 28-29 FOMC
- Following meeting: June 16-17
- Market expectation: No cuts until late 2026 at the earliest. The energy shock has effectively closed the window for first-half easing. The April 28-29 meeting is expected to be another hold with continued hawkish language.

Powell Term Deadline - May 15

Reuters reported in late March that the Senate Banking Committee was planning to hold Warsh's confirmation hearing as soon as the week of April 13. Watch for confirmation of that date and any committee vote timeline. Powell's term ends May 15 — whether Warsh is confirmed before that deadline or there is a gap in leadership is the key question. Also watch for Warsh's testimony, which will be the clearest signal yet of how he views monetary policy and the balance sheet in the current inflationary environment.

Key Dates - April and May

April

- April 3: March Employment Report (nonfarm payrolls, unemployment rate, hourly wages)
- April 7: Durable goods orders; Chicago Fed President Goolsbee speaks
- April 8: FOMC Minutes released
- April 9: February Personal Income and Spending, PCE Index (headline and core)
- April 10: CPI (March), preliminary Consumer Sentiment (April)
- April 28-29: FOMC Meeting and rate decision

May

- May 15: Jerome Powell's term as Fed Chair expires

The Strait of Hormuz

The most important variable to watch for CRE is not the next jobs report. It is whether the Strait of Hormuz reopens and at what pace. A sustained closure means persistent oil price elevation, continued inflationary pressure, and a Fed that cannot cut. A resolution, even a partial one, could quickly reverse the rate picture and restore some of the macro tailwind that the first two months of 2026 had established.

European Central Bank and Bank of England

The ECB has put an April rate hike firmly on the table in response to the energy shock. The BoE situation is more nuanced: markets priced in a hike, but Bank of England Governor Bailey pushed back on April 1, telling Reuters that markets were getting ahead of themselves, prompting J.P. Morgan to pull back its April BoE hike call. Watch for ECB and BoE meeting outcomes in April - ECB

tightening is the more credible near-term risk, and either move could add to dollar strength and put additional upward pressure on U.S. rates indirectly.

Q1 2026 Earnings - Alt Managers

Blackstone, KKR, Apollo, and Ares all report Q1 earnings in April. These calls will be the clearest signal yet of how the alternative asset management sector is navigating the rate reversal, SASB pressure, and fundraising environment. Listen specifically for any commentary on CRE exposure, loan extension activity, and deployment pace.

ROAD to Housing Act - House Consideration

The Senate passed the bill on March 12. It has now returned to the House for further consideration. Watch for any committee action, floor votes, or signals from House leadership on timeline. Institutional SFR owners should be tracking this closely and understanding the specific provisions - including the 350-home threshold and available carve-outs - before any enactment.

Private Credit Stabilization

KKR and Apollo were both slightly positive on the 1-month. Watch whether this represents genuine stabilization or a temporary bounce in a continuing decline. A sustained recovery in alt manager stocks would be a meaningful positive signal for CRE capital availability heading into the second half of 2026.

Key Terms and Acronyms

- **Basis / Cost Basis:** What you paid for the property - your entry price. A seller "underwater on basis" paid more than they can recover in a sale.
- **BTR (Build-to-Rent):** Single-family homes built specifically for the rental market rather than for sale.
- **Cap Rate:** NOI divided by property price. The rate of return on a property based on current income. Rising cap rates = falling values, all else equal.
- **CMBS (Commercial Mortgage-Backed Securities):** Pools of commercial real estate loans packaged and sold to investors as bonds. A key source of CRE financing.
- **CRE (Commercial Real Estate):** Income-producing real estate - multifamily, office, industrial, retail, hospitality, and specialty assets.
- **DIP (Debtor-in-Possession):** Financing provided to a company during bankruptcy proceedings. A DIP battle signals serious financial distress.
- **Dot Plot:** The Federal Reserve's Summary of Economic Projections (SEP), showing each FOMC member's forecast for where interest rates will be at year-end. The March 2026 dot plot maintained an outlook for one rate cut in 2026 despite the hawkish pivot in language.
- **DSCR (Debt Service Coverage Ratio):** NOI divided by annual debt service. Lenders typically require 1.20x-1.30x minimum; a falling DSCR signals refinancing risk.
- **FOMC (Federal Open Market Committee):** The Fed committee that sets interest rate policy. Meets eight times per year.

- **HALO (Heavy Asset, Low Obsolescence):** A Goldman Sachs framework describing assets with substantial physical capital, high barriers to replication, and relevance across multiple technological cycles. Data centers, transmission grids, pipelines, and critical infrastructure are primary examples. The Goldman Sachs Capital Intensive basket has outperformed the Capital Light basket by 35% since 2025.
 - **JOLTS (Job Openings and Labor Turnover Survey):** Monthly BLS report tracking job openings, hires, and separations. A key indicator of labor market health.
 - **LTV (Loan-to-Value):** The loan amount as a percentage of the property's value. Higher LTV = more leverage = more lender risk.
 - **NOI (Net Operating Income):** Cash flow after operating expenses, before debt service. The foundational metric for CRE valuation.
 - **PCE (Personal Consumption Expenditures):** The Fed's preferred inflation measure. Broader than CPI and generally runs slightly lower.
 - **QE (Quantitative Easing):** The Fed purchasing bonds to inject liquidity into the economy and push long-term rates down.
 - **QT (Quantitative Tightening):** The reverse of QE - the Fed shrinking its balance sheet by selling or letting bonds mature, pulling liquidity out of the system.
 - **REIT (Real Estate Investment Trust):** A publicly traded company owning income-producing real estate, required to distribute at least 90% of taxable income.
 - **ROAD to Housing Act:** The 21st Century ROAD to Housing Act, passed by the Senate on March 12, 2026. Returned to the House for further consideration - not yet enacted law. If passed, would limit corporations owning more than 350 homes from purchasing additional residential properties; would expand multifamily financing; would streamline regulatory hurdles for new development.
 - **SaaS (Software as a Service):** Cloud-based software sold on a subscription basis, typically priced per user "seat." AI displacement of workers is directly reducing SaaS revenue as companies cancel licenses alongside headcount.
 - **SASB (Single Asset Single Borrower):** A CMBS structure where a single large loan on a single property is securitized, typically used for trophy assets. The \$7.6 billion in SASB AAA downgrades in March 2026 is significant because AAA is the most senior and protected tranche. Stress at this level signals broader credit deterioration.
 - **SLOOS (Senior Loan Officer Opinion Survey):** A quarterly Fed survey of bank lending officers on credit conditions. A key read on whether banks are tightening or loosening standards.
 - **SOFR (Secured Overnight Financing Rate):** The benchmark short-term rate that replaced LIBOR. Used in most floating-rate CRE loans.
 - **Spreads:** The premium lenders charge above a base rate like SOFR or Treasuries. Tighter spreads = cheaper financing; wider spreads = more expensive.
 - **Strait of Hormuz:** A narrow waterway between Iran and the Arabian Peninsula through which approximately 20% of the world's oil supply passes. Disruption to shipping through the Strait has direct implications for global oil prices and, by extension, inflation and interest rates.
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Transactions and Notable Deals

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Savills / Eastdil Secured - agreed acquisition, ~\$1.1B including debt (Reuters)

SL Green - One Madison Avenue refinancing (\$1.65 billion)

Legislative

21st Century ROAD to Housing Act (Senate passage, March 12, 2026)

REIT and Equity Performance

Google Finance - All REIT and alternative asset manager performance data as of market close April 1, 2026

Economic Release Schedules

BLS - CPI, PPI, Employment, JOLTS schedules: [bls.gov](https://www.bls.gov)

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